

Credit Risk Assessment Scorecard

Purpose

The Credit Risk Assessment Scorecard provides a standardized framework for evaluating customer credit risk.

The scorecard combines compliance verification, financial performance, external credit information, and industry risk to determine an overall risk profile.

Maximum Possible Score: 100

Compliance Verification

Weight: 20

All mandatory compliance checks must be completed before a credit recommendation can be issued.

No Compliance Issues Found

Score: 20

Compliance Concern Identified

Score: 0

Examples of Compliance Concerns

Sanctions Match

Watchlist Match

Regulatory Restrictions

Material Adverse Findings

Frequently Asked Questions

What happens if a sanctions match is identified?

Any sanctions or compliance concern results in a compliance score of 0 and requires manual review.

Can a customer proceed if compliance checks fail?

No. Compliance concerns must be resolved before a final credit decision can be made.

Liquidity Assessment

Current Ratio

Weight: 20

Current Ratio ≥ 1.50

Score: 20

Current Ratio 1.20 - 1.49

Score: 15

Current Ratio 1.00 - 1.19

Score: 8

Current Ratio < 1.00

Score: 0

Definition

Current Ratio = Current Assets ÷ Current Liabilities

Example

Current Assets = 150,000

Current Liabilities = 100,000

Current Ratio = 1.50

Score Awarded = 20

Frequently Asked Questions

What score is assigned when Current Ratio exceeds 1.5?

20 points.

What score is assigned for a Current Ratio of 1.3?

15 points.

What does a Current Ratio below 1.0 indicate?

The company may have difficulty meeting short-term obligations.

Leverage Assessment

Debt-to-Equity Ratio

Weight: 15

Debt-to-Equity $\leq$ 1.50

Score: 15

Debt-to-Equity 1.51 - 2.00

Score: 10

Debt-to-Equity 2.01 - 3.00

Score: 5

Debt-to-Equity $>$ 3.00

Score: 0

Definition

Debt-to-Equity = Total Debt ÷ Shareholder Equity

Example

Total Debt = 200,000

Shareholder Equity = 100,000

Debt-to-Equity = 2.00

Score Awarded = 10

Frequently Asked Questions

How is Debt-to-Equity calculated?

What score is assigned for a Debt-to-Equity ratio of 2.5?

What does a higher Debt-to-Equity ratio indicate?

Profitability Assessment

Net Profit Margin

Weight: 15

Net Margin $\geq 8\%$

Score: 15

Net Margin $4\% - 7.99\%$

Score: 10

Net Margin $1\% - 3.99\%$

Score: 5

Net Margin $< 1\%$

Score: 0

Definition

Net Profit Margin = Net Profit $\div$ Revenue

Example

Revenue = 500,000

Net Profit = 40,000

Net Profit Margin = 8%

Score Awarded = 15

Frequently Asked Questions

How is Net Profit Margin calculated?

What score is awarded for a Net Margin of 6% ?

What happens if a company reports a loss?

External Credit Bureau Assessment

Weight: 15

Credit Score ≥ 700

Score: 15

Credit Score $650 - 699$

Score: 10

Credit Score $600 - 649$

Score: 5

Credit Score < 600

Score: 0

Frequently Asked Questions

What score is assigned to a bureau rating of 720?

What score is assigned to a bureau rating of 630?

What happens when a bureau score falls below 600?

Industry Risk Assessment

Weight: 15

Low Risk Industry

Score: 15

Medium Risk Industry

Score: 8

High Risk Industry

Score: 3

Worked Example

Customer Profile

Industry: Utilities

Current Ratio: 1.56

Debt-to-Equity: 1.86

Net Profit Margin: 5.56%

Credit Bureau Score: 720

Compliance Status: Passed

Score Breakdown

Compliance: 20

Liquidity: 20

Leverage: 10

Profitability: 10

Bureau: 15

Industry Risk: 15

Final Score: 90

Risk Rating: Low Risk

Assessment Guidelines

Use the most recent financial statements available.

Validate all calculations before assigning scores.

Missing financial data should be escalated for manual review.

Compliance checks must always be completed first.

Knowledge Check Questions

How many points are assigned for a bureau score above 700?

Which category carries the highest weight?

What is the maximum possible score?

How should missing financial information be handled?

Can compliance checks be skipped?